TOPIC 1 · THE GLOBAL ECONOMY

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Oil hits a six-month high as attacks in the Strait of Hormuz escalate

> Brent crude rose 13.6% in October to almost US$118 a barrel as attacks on tankers in the Strait of Hormuz reached their highest monthly level since the US–Israel war with Iran began in February.

WHAT HAPPENED

- **Brent crude** settled at **US$117.64** on Friday 30 October (up 2.4% on the day); **WTI** closed at US$104.12.
- October saw at least **35 attacks on shipping**, the most in any month of the conflict. Traffic through the strait is still about **70% below** pre-war levels.
- Iran's Revolutionary Guard claims four tankers hit mines, including a supertanker carrying more than 2 million barrels (not independently verified).
- Iran's Supreme Leader has ordered an **unrestricted response** to any new attack, while Qatar-mediated talks on reopening the strait continue.

Key terms: supply shock, price inelastic demand, cost-push inflation, terms of trade, stagflation

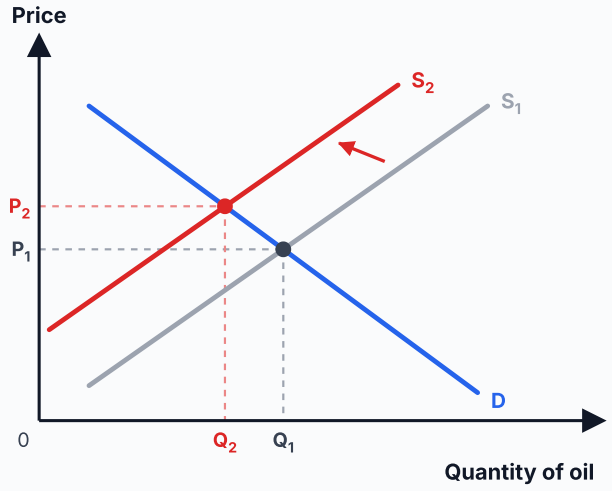
US$117.64
Brent crude, 30 Oct (6-month high)

+13.6%
Brent rise across October

35+
Attacks on shipping in October

−70%
Hormuz traffic vs pre-war

DIAGRAM — Why a supply disruption causes a big price rise



In the short run, **demand for oil is price inelastic** (the steep D curve): households and firms can't quickly switch away from petrol, diesel and jet fuel.

When war and mines cut flows through Hormuz, supply shifts from **S_1 to S_2**. Quantity falls only a little (**Q_1 to Q_2**) but the **price jumps** (**P_1 to P_2**).

Exam angle: for an oil importer like Australia, the same shock shifts **SRAS** to the left on an AD/AS diagram: higher prices and lower output, i.e. **stagflation**. Fuel rose 9.4% in Australia's September CPI.

FLOW CHART — How the shock reaches Australian households

Attacks and mines in the Strait of Hormuz → World oil supply falls; Brent rises → Petrol, freight and airfare costs rise → CPI inflation rises (4.3% in Sept) → **Pressure on the RBA to lift rates**

SYLLABUS LINK

Topic 1 – global supply shocks and how instability spreads through world commodity markets. **Topic 3** – cost-push inflation and external shocks to the Australian economy.

TRY THIS

1. Using an AD/AS diagram, explain how a sustained rise in world oil prices affects inflation, output and unemployment in Australia. **(6 marks)**
2. Explain why the RBA might 'look through' an oil price shock, and why it may not in 2026. **(4 marks)**

Investing.com/Yahoo Finance: au.finance.yahoo.com/news/oil-hits-six-month-highs-064011112.html
ABC News: abc.net.au/news/2026-10-31/attacks-on-iran-should-be-met-without-restraint-khamenei-orders/107332392